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The Debt Moves Only If the Risk Does: Amazon's $8 Billion Chip Leaseback

Five hyperscalers have signed about $1.1 trillion of lease payments, undiscounted and mostly for data centres, on property they will rent and not own. That works for buildings. Amazon is now reported to be trying something similar with chips it already runs, where the accounting rules let the debt leave only if real risk leaves too. The five-year life Amazon set for a subset of its servers in 2025, if it covers these chips, decides how much.

TON618 CAPITAL RESEARCH · AS OF 6 OCTOBER 2026 ·



Five years: the life Amazon gave a subset of its servers in 2025.

On that clock, with one year run, a leaseback reaching three of the four left is a loan in the accounts, not a sale.

YEAR ONE ELAPSED · LEASE ARC TO 75% OF WHAT REMAINS

On 2 October the Financial Times reported that Amazon has been talking to investors about moving roughly $8bn of Nvidia Grace Blackwell chips, installed in more than a dozen US data centres, into a special-purpose vehicle funded with outside debt and up to 10% equity, and leasing them back so AWS keeps using them. The FT's own summary line is that the move "aims to improve the tech group's balance sheet health". Amazon has not commented, and no lease term, investor or price has been reported. Structures that keep AI financing off a sponsor's balance sheet have spread over the past year (§2). This note starts with a plainer question: why move chips off a balance sheet at all, when a bond is cheaper? It answers by measurement: what a vehicle changes that a bond does not, what the rules demand before that change counts, and how far $8bn moves each number it touches. Amazon's shares last traded at $251.53 on Friday 2 October, against a $248.23 close the day before.

THE QUESTIONS

What this note answers

1. **Why move chips off the balance sheet?** What a vehicle does that a bond cannot, and why chips are the part not yet financed this way.
2. **Why can buildings' debt sit elsewhere when chips' debt, at scale, so far has not?** A census of the filings.
3. **What do the rules demand of Amazon?** The sale test under US accounting (ASC 842), on Amazon's own server clock, including renewal options.
4. **How much risk would Amazon have to sell?** What the chips are worth when the lease ends, from the market's rent curve.

5. **What does it buy and what does it cost?** Free cash flow, the funding premium, and whether rating agencies count it anyway.
6. **Who wins and who loses?** What each side carries, by rent path, and which reading of the deal the terms would fit.
7. **When do we find out?** The filing, the date and the exact lines.

3 years

THE COMMITTED LEASE TERM AT WHICH AMAZON'S CHIP SALE BECOMES A LOAN, ON THE FIVE-YEAR LIFE IT SET FOR A SUBSET OF SERVERS

The verdict. A vehicle changes two things a bond does not: where the borrowing is reported, and who owns the chips afterwards. For buildings the rules let a sponsor move the borrowing and keep the risk. For chips they do not. On the five-year life Amazon set for a subset of its servers in 2025, which we assume covers these chips, an $8bn leaseback of year-old chips counts as a sale only if the committed lease stays under about **three years** and outside investors own what the chips are worth afterwards, roughly **$1.4bn to $2.0bn** of the $8bn on our base estimate, with a wide band (§4). The debt leaves only with that slice, and only about that much leaves: on a two-and-a-half-year term the rent comes back as a liability of about $6.6bn, so about **$1.4bn net** comes off the balance sheet (base estimate; $0.9bn at the three-year limit). The larger effect is timing. $8bn lands in reported free cash flow at closing, about $7.0bn returns as rent within thirty months, and December's trailing figure still sits near **−$19bn** (our estimate). A deal that passes is mostly a sale of chip risk, at a price; a deal that keeps the risk is a loan.

~$1.1tn
Undiscounted payments five hyperscalers have committed to on leases signed but not yet started (Amazon's $137bn is not split by property type); commitments, not borrowings

3.0 yrs
Committed term at which Amazon's sale fails, for a year-old fleet on Amazon's five-year server life (3.4 at six months old; 3.75 on six years)

$1.4–2.0bn
Chip risk a passing deal sells to outside investors, at committed terms of 3.0 down to 2.5 years (our base estimate; about $1bn to $6bn across readings of the chips' price)

+52%
Rise in market rent for Nvidia's B200 since July, the strongest fact for the chips holding their value

Terms used throughout, defined once. Sale-leaseback: selling an asset and renting it back. **Finance lease:** a lease that is in substance a purchase, recorded like owning the asset with a loan; under ASC 842 a leaseback classified this way means no sale happened. **Operating lease:** a rental; the asset leaves the seller's books, and a smaller lease liability arrives. **Committed term:** the period the tenant cannot cancel, plus any renewal it is "reasonably certain" to take up. **Residual value:** what the chips are worth when the lease ends. **Residual value guarantee:** a tenant's promise to make up any shortfall in that value. **SPV:** special-purpose vehicle, the company that buys the chips. **Free cash flow (FCF):** Amazon's definition, operating cash flow less purchases of property and equipment *net of proceeds from sales and incentives*. **Dose:** capital spending per dollar of net income, the house measure of how much an income statement leans on its depreciation schedule; net income here excludes all of Amazon's non-operating income (mostly gains on its Anthropic investment), after a 21% tax. **Rent curve:** what a GPU-hour rents for, by chip generation. **bp:** basis points, hundredths of a percentage point.

THE CASE FOR, FIRST

The case that this is a sound sale, as its proponents make it

The strongest case for the deal, and for vehicles like it, rests on six mechanisms.

1. **It is risk transfer, and prudent.** Amazon itself said in 2025 that the pace of AI development shortens server lives, and cut a subset from six years to five. Selling the chips' residual value to investors who choose to hold obsolescence risk, and who price it off a live rent market, is what a careful owner does.
2. **The cash is real.** In an operating leaseback the sale is a sale. The $8bn arrives as cash Amazon can spend on capacity it says it cannot build fast enough. Rent is an operating cost like power or bandwidth, and it is recorded as one.
3. **The scarcity is real too.** Market rent for Nvidia's B200 rose from $5.14 to $7.81 an hour between July and October, up 52% in a quarter despite a dip in August. A chip whose rent climbs that fast is collateral investors want, and its value in three years may be higher than any decay curve assumes.

4. **Economic life is not depreciation life.** The accounting test runs on the asset's life to "one or more users", not to Amazon. A100s that went on sale at AWS in November 2020 still rent at $0.90 an hour in the market today, and at $1.70 on AWS's own list. On an eight-year market life, a four-year leaseback passes.
5. **Diversifying funding is legitimate, not cosmetic.** Amazon has issued about $107bn of notes since November 2025, plus £4.25bn in September, and two press tallies agree its July dollar deal drew weaker demand than its March one. Debt secured on one asset class and sized to that asset's rent does not compete with the unsecured curve that funds the rest of a $220bn budget. Bloomberg reports that if the vehicle wins an investment-grade rating, insurers and pension funds could join as backers.
6. **The guarantees elsewhere are ceilings, not losses.** Meta says payments under its residual guarantee "are not probable" and has booked no liability. Broadcom says the fair value of its $29bn backstop is "not material". A maximum exposure is not a measure of risk kept.

Of these, this note tests the risk-transfer claim (1), by measuring in §4 how much chip risk a passing deal would actually move; the cash (2), by tracing the rent that repays it and the base it lands in; the scarcity and economic-life arguments (3 and 4), by running their inputs, a 20% annual rent decline and an eight-year life, as a full scenario alongside ours; and the cost side of the funding argument (5) in §6. **It cannot test** whether investors are pricing the residual correctly, how likely any guarantee is to be called (6), or how a rating agency will treat this particular vehicle (5) until the terms are public.

THE REASON

Why move chips off the balance sheet

A vehicle costs more than a bond, and it changes two things a bond does not. Amazon can borrow for two and a half years at about 5.3%. We estimate a vehicle that passes the accounting test would cost it about 8.3% (§6). Two things differ: what gets reported, and who owns the chips when the lease ends. The second is the proponents' reason in its own right (case 1 above), and §6 finds that most of the extra cost is its price.

$8BN RAISED THROUGH…	REPORTED FREE CASH FLOW	REPORTED CAPEX, NET	BORROWINGS ON THE BALANCE SHEET	LEASE LIABILITY	WHO OWNS THE CHIPS' END VALUE
A bond	No change	No change	+$8.0bn	None	Amazon, all of it
A vehicle that passes the sale test	+$8.0bn	−$8.0bn	None	+$6.6bn	Outside investors: about $2.0bn on our base estimate (§4)

The second row does not make $8bn of obligations disappear. The rent is itself a liability, about $6.6bn, so about **$1.4bn net**, 18% of the money raised, leaves the balance sheet, which is close to the $1.5bn outside equity pays for the chips' end value. §4 shows why the two match.

Three measured facts show what the reporting difference would touch. Free cash flow went from +$18.2bn in the year to June 2025 to **−$7.6bn** in the year to June 2026; in the first half of 2026 Amazon spent $98.4bn on property and equipment against $71.4bn of operating cash flow. The bond market filled the gap: Amazon raised $67.0bn of long-term debt in that half-year, its notes outstanding nearly doubled, from $68.0bn to $132.1bn, and its new-issue spreads widened between November 2025 and July 2026 (three-year money from 30bp to 40bp over Treasuries, ten-year from 55bp to 80bp), while two press tallies put its July order book below March's. And the rating is tied to both: Moody's moved its outlook on Amazon's A1 from positive to stable on 20 February 2026, citing the need for external funding, and said an upgrade would need consistent profit growth and positive free cash flow (as reported by Investing.com and Yahoo Finance).

Servers are the largest part of what Amazon buys, and the part not yet financed this way at scale. At Microsoft, Oracle and Meta, the leases signed and not yet started are primarily for data centres (§2), so a large volume of data-centre capacity is being rented from landlords, not built and owned. Amazon has $137bn of such leases across all its property. Servers and networking equipment have had no equivalent route at scale. They added more to Amazon's property at cost in 2025 than any other class ($59bn, against $32bn for land and buildings), and by our estimate spending on them

equalled about 45% of that year's purchases of property and equipment, which at this year's $220bn guide is roughly $99bn. Amazon buys most of them with its own cash: property and equipment acquired under finance leases was $2.9bn in 2025.

The sections that follow measure how far $8bn moves each of those numbers, and §6 sets the answers side by side.

THE PRECEDENTS

Buildings' debt already sits elsewhere. Chips' debt, at scale, does not yet

The build-out's building debt mostly sits on other people's books. The usual route is a lease. A developer borrows to build a data centre, and the tenant's signed rent commitment is what the lenders rely on. Nothing reaches the tenant's balance sheet until the lease starts. Five companies disclose about **$1.1 trillion** of payments on leases signed but not yet started, and some have added guarantees on top.

COMPANY	LEASES SIGNED, NOT YET STARTED	GUARANTEES AND BACKSTOPS ON TOP
Microsoft (30 Jun 2026)	$329.1bn	None disclosed
Oracle (31 Aug 2026)	$288bn	A guarantee of one landlord's borrowing, up to $3.3bn at 31 May 2026; it was due to mature in September 2026
Meta (30 Jun 2026)	$279.0bn, plus about $68bn signed in July	A residual value guarantee on its Hyperion campus starting at about $28bn, with no liability booked; up to about $13bn more expected on El Paso
Amazon (30 Jun 2026)	**$137.2bn**, not split by property type	None disclosed
Alphabet (30 Jun 2026)	$85.2bn	Backstops of other companies' data-centre payments, $43.8bn notional
NVIDIA, as a supplier	n/a	Guarantees capped at $105bn on an OpenAI affiliate's lease and power payments
Broadcom, as a supplier	n/a	A backstop of up to about $29bn on its customer's five-year leases, in what Broadcom calls a $35bn initial tranche

These are commitments, not borrowings, and the guarantees are ceilings. The lease figures are undiscounted payments over terms of up to 30 years, so they cannot be set against debt one for one, and each lease becomes a liability on the tenant's own books when it starts. The guarantees are maximums: about $28bn on an asset the sponsor itself uses (Meta's Hyperion), and about $178bn where Alphabet, NVIDIA and Broadcom stand behind someone else's payments. Meta calls payment "not probable", and Broadcom reports its backstop's fair value as "not material". What the table shows is narrower and, we think, hard to dispute. For buildings, it is routine for a landlord or a partner to own the asset while the sponsor stays committed to it, and Amazon has $137bn of such commitments of its own.

Meta shows how far the building route can be pushed. A long lease does reach the balance sheet once it starts: Microsoft carries $66.6bn of finance-lease liabilities, on leases that include its data centres. Meta's Hyperion structure avoids even that. Its leases run four years, renewable to twenty, and in place of a long commitment Meta guarantees the campus's value. The campus was financed with $27.3bn of bonds that do not appear in Meta's debt, and Meta reports a maximum exposure of $46.0bn.

Chips, at scale, are the exception. We searched SEC filings since 2024, one form type at a time, for sale-leasebacks of GPUs, servers or AI hardware, and read what the searches returned. Three companies report having sold AI servers and leased them back, and a fourth, Sangrix, reports the buyer's side of such a deal. The only large case sits on the seller's books. The last three rows of the table are financings that never sought a sale.

COMPANY	WHAT IT DID WITH CHIPS	HOW IT IS ACCOUNTED FOR
xAI, now SpaceX (Oct 2025 – Apr 2026)	Sold AI hardware to Valor, a related party, and leased it back, three times; the third lease runs five years	On its books: $13.3bn of debt at 30 June 2026. The leasebacks "would have been deemed finance leases resulting in failed sale-leaseback transactions"
Sangrix (Jun 2026)	The buyer: paid $11.0m in cash and warrants for 16 Nvidia B300 servers, with a five-year agreement for the seller to keep operating them	A loan on the buyer's books: "accounted for together as a failed sale-leaseback and financing arrangement"
Boost Run (Jan 2024)	Sold GPU servers valued at $0.59m and leased them back for 36 months	A sale: "control was deemed to have transferred" and the lease is "classified as operating"
WhiteFiber (Dec 2023)	Sold 96 AI servers (768 GPUs) to a third party and leased them back for three years	Unclear. The filing does not state the accounting. It reports a usage-based GPU-server lease expense ($13.6m in 2024) and no lease liability we could identify, but does not tie that lease to the sale
CoreWeave (Mar 2026)	Arranged an $8.5bn loan facility against GPUs in a subsidiary ($2.9bn drawn at 30 June)	On its books, though non-recourse to the parent apart from limited carve-outs
Amazon (to date)	Leased property and equipment, including servers, under finance leases	On its books: $55.6bn at cost across all finance-leased assets, $15.8bn after amortisation
Broadcom (Jun 2026)	Arranged for a partner to buy racks and lease them to its customer	Off Broadcom's books, but the racks were never Broadcom's to lease back

Four cases are too few to prove a rule, and three of them are tiny. The two leasebacks disclosed as five-year, xAI's third and the one Sangrix bought into, were booked as financings. The one three-year leaseback whose accounting is disclosed, Boost Run's, was booked as a sale, which fits the next section's arithmetic only if the servers had more than four years of economic life left at signing. None of these filings names the lease term as the reason: xAI's cites finance-lease classification without saying which test, and Sangrix's cites the operator's rights over the servers. So the pattern is consistent with the arithmetic, not evidence for it. Among the deals we could confirm, Amazon would be the first hyperscaler to sell installed chips it runs and lease them back. One detail in the reporting complicates even that: Reuters says the chips were "bought or leased" by Amazon, and chips Amazon already leases are not its to sell.

On the rules, the asset's life is the likely reason for the split. A four-year lease is a small slice of a building that lasts decades. The rules treat it as a rental, the tenant books four years of rent against an asset worth several times that, and Meta's filings show a guarantee of the building's value sitting beside its four-year leases. The same four years is most of a chip's life. The rent then repays most of the price, the rules call that a purchase, and a guarantee, which the test counts alongside the rent, only makes it more so. The next two sections put numbers on that.

THE CLOCK

What the rules demand of a chip

The rule is short. ASC 842-40 says the buyer has not obtained control, so no sale has occurred, "if the leaseback would be classified as a finance lease or a sales-type lease". A lease is a finance lease if any one of five tests is met. Two matter here: whether the lease runs for "the major part of the remaining economic life" of the asset, and whether the present value of the rent equals "substantially all" of the asset's fair value. The standard's guidance offers 75% and 90% as "one reasonable approach" to those two phrases, and practice follows it.

The first test runs on a number Amazon chose. Deloitte's guide to the standard says it "would expect the economic life of an asset to correspond to its depreciable life used for financial reporting." Amazon's depreciable life for servers is five to six years. In January 2025 it cut "a subset of our servers and networking equipment" from six years to five, citing "the increased pace of technology development, particularly in the area of artificial intelligence and machine learning." The 10-K does not say which servers are in the subset. We assume AI accelerators, the stated reason for the cut, are in it; if they sit on six years instead, the limit moves out by three-quarters of a year. AWS made Grace Blackwell systems generally available on 9 July 2025, and Reuters describes the chips as ones Amazon "is installing", which points to a young fleet. We assume about a year old on average and show the sensitivity.

ECONOMIC-LIFE BASIS	LIFE REMAINING AT SIGNING (FLEET ONE YEAR OLD)	COMMITTED TERM AT WHICH IT BECOMES A FINANCE LEASE	IF THE FLEET IS SIX MONTHS OLD	IF NEW
Our three-year economic clock (The Depreciation Question)	2.0 years	1.5 years	1.9 years	2.25 years
Amazon, five years (the 2025 subset)	**4.0 years**	**3.0 years**	**3.4 years**	**3.75 years**
Amazon, six years (servers generally)	5.0 years	3.75 years	4.1 years	4.5 years
Eight-year market life (the scarcity case's input)	7.0 years	5.25 years	5.6 years	6.0 years

To pass with a committed term of four years or longer, Amazon would need its auditor to accept an economic life well beyond the depreciable life it chose, for AI reasons, in January 2025. That is possible, because the test asks about "one or more users", and AWS itself will still rent an A100 for $1.70 an hour from 7 October, nearly six years after launching it. It would also run against the direction Amazon itself moved in 2025: it is the only one of the six large AI-compute buyers in our depreciation work that has shortened a server clock.

Renewal options are the obvious alternative, and they only go so far. Meta's building leases run four years with options to renew for up to twenty. Amazon could write a short committed term with options to extend. Under the standard, a renewal counts toward the term only if the tenant is "reasonably certain" to exercise it, a threshold PwC puts at about 75% probability. A renewal at or above the initial rent "is not considered to be reasonably certain of exercise", PwC says, unless "the economic penalties the lessee would suffer by not exercising the renewal option are significant", so renewals at market or flat rent would probably keep the committed term short; a rent that steps down on renewal creates a presumption of exercise, which PwC says can be overcome; and fixed-price renewals covering the rest of the asset's life are contested, with PwC recording one view that they amount to a fixed-price buyback, which would end sale accounting, and another that they do not, and Deloitte saying they do not automatically preclude a sale. The open point for Amazon is the economic penalty: the standard counts the cost of removing the asset and its importance to the tenant's operations, and these chips sit in Amazon's own halls with AWS, on the FT's account, still using them. Either way, a market-rent renewal does not hand the risk back. The investors still own chips whose next rent is whatever the market pays.

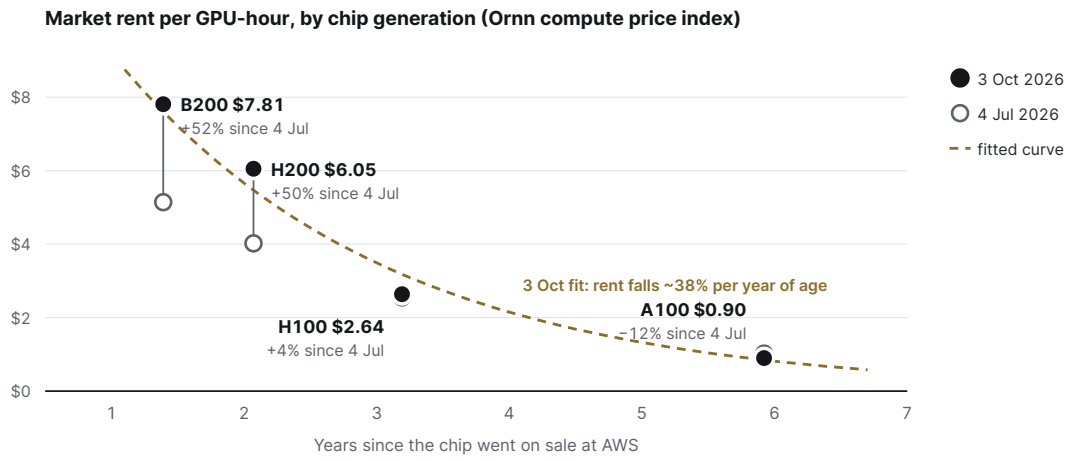
Two more traps sit beside the term. Any option for Amazon to buy the chips back at a fixed price ends sale accounting outright, and even a fair-value option survives only if "alternative assets, substantially the same", are "readily available in the marketplace", a hard claim for the scarcest GPU on the market. And if the vehicle leans on Amazon, through a residual value guarantee or Amazon's control over re-leasing hardware that sits in its own buildings, Amazon may have to consolidate it under ASC 810, which brings the debt straight back. Who holds the equity matters for that test, and the reports disagree: Bloomberg says the vehicle could sell a stake of up to 10% to investors and Reuters that Amazon plans to offer it, while one outlet, Quartz, says Amazon would hold it. Amazon's 10-Ks and 10-Qs from 2019 to 2026 have never used the phrases "failed sale" or "residual value guarantee", so there is no Amazon precedent to read.

THE RISK THAT MUST LEAVE

How much risk Amazon would have to sell

The second test turns on what the chips are worth when the lease ends. For the vehicle to buy $8bn of chips, its investors must get $8bn back, plus a return, from two sources: Amazon's rent and the chips' end value. The less the chips are worth at the end, the more the rent must cover, and above 90% the lease is a finance lease. The best evidence of a 2025 chip's rent in 2028 is what older chips rent for today. Ornn's compute price index, the series Polymarket's GPU-rent contracts settle on, publishes daily hourly rents by chip.

EXHIBIT 1 — RENT BY GENERATION

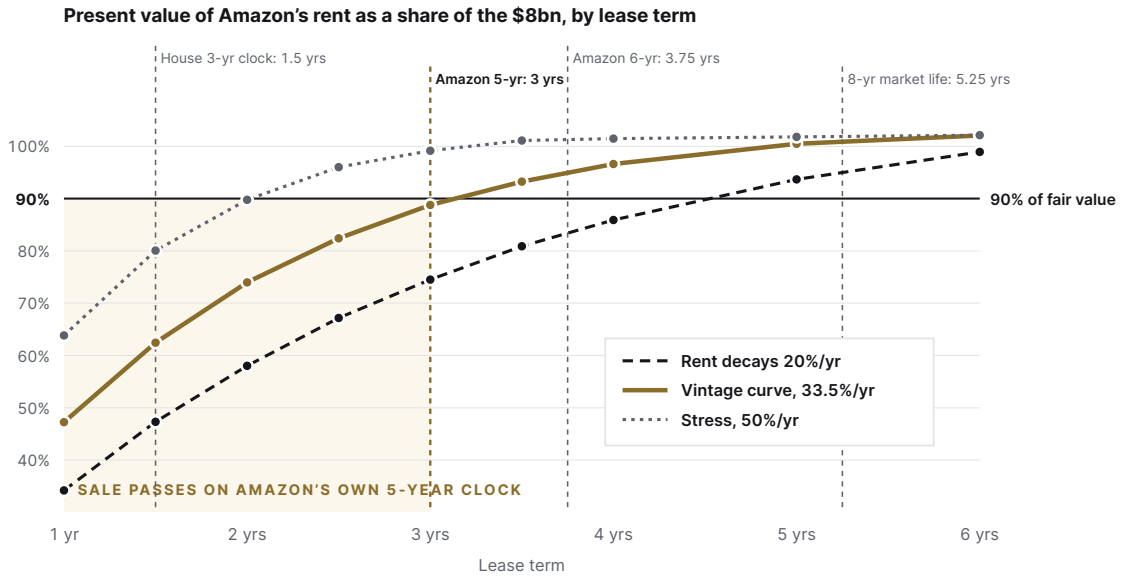


How to read it. Each solid dot is the market rent for one GPU-hour on 3 October 2026, in dollars, for one Nvidia chip generation. Each hollow ring is the same chip on 4 July 2026. The horizontal position is years since that generation became generally available at AWS. The dashed gold line is the curve fitted through the four October points, falling about 38% per year of age; fitted on each day of the three months instead, the slope averages 33.5%, the figure we use. Compare dots against each other for the price of age, and dots against their rings for the last three months. The one thing it shows is that rent is a curve by generation, not a single level: the newest chips got more expensive this quarter while the oldest got cheaper.

Two facts hold at once. Rent for the B200 rose 52% and for the H200 50% between July and October. Rent for the A100 fell 12%, and Polymarket settled it one bracket lower in September ($0.75–1.00) than in August ($1.00–1.25). The H100, three years on sale, rents for 34% of a B200. The A100, about six years on sale, rents for 11.5%. Fitted across the four generations on each day of the public three-month window, rent falls between 29.5% and 38.6% per year of age, 33.5% on average. AWS's own price list for reserved GPU blocks draws a similar curve: from 7 October it charges $14.21 an hour for a B200, $5.97 for an H100 and $1.70 for an A100, about **35%** less per year of age. A list price is not a market price, but the two land close together.

The slope is a cross-section, and that cuts both ways. It captures what a chip earns once newer ones exist, which is what the vehicle will face. It does not capture whether today's frontier chip keeps a scarcity premium longer than its predecessors did. The B200's 52% quarter is the best evidence that it might, and Polymarket prices **77.5%** on it still renting above $7.00 at year-end. That is why a 20%-a-year path runs through every table as a full scenario.

EXHIBIT 2 — THE PASS WINDOW



How to read it. Each line is the present value of Amazon's rent, as a share of the $8bn the vehicle pays, for committed lease terms from one to six years. Present value is discounted at Amazon's own borrowing rate, the rate a lessee normally uses. The gold solid line assumes rent falls 33.5% a year as the chip ages, the market's average slope over the last three months. The black dashed line assumes 20% a year, the case for scarcity persisting. The grey dotted line is a 50% stress. Above the black 90% line the lease is a finance lease, so no sale. Vertical dashed lines mark the term at which the other test, 75% of remaining life, fails on each life assumption for a fleet one year old. The shaded box is where both tests pass on Amazon's five-year clock: below 90% and left of three years.

On our base inputs, both tests give out at about three years. We value a GPU as the present value of its future rent less the cost of running it, and price the vehicle tranche by tranche (§9). On the market's curve, a two-and-a-half-year lease puts the rent at 82% of value and a three-year lease at 89%; it reaches 90% at about 3.2 years on Amazon's borrowing rate (3.5 at the rate implicit in the lease). The term test on Amazon's five-year clock fails at 3.0. On the scarcity case's inputs, 20% annual decline and an eight-year life, a four-year lease passes both (86%; four years against a 5.25-year limit). In the 50% stress, even a two-and-a-half-year lease fails the value test (96%).

The end value is an estimate, and it has two soft inputs. The first is the running cost. A buyer of used chips must house and power them. We build that cost from published figures: a Grace Blackwell rack draws about 124kW for 72 GPUs, large Northern Virginia colocation asks $160–185 per kW a month, and Virginia industrial power costs about 10 cents a kWh. That gives about **$0.66 per GPU-hour**. A hyperscaler running its own halls may pay nearer $0.40, and a small buyer nearer $0.87.

ASSUMPTION	CHIPS' END VALUE AFTER 2.5 YEARS	RENT REACHES 90% OF VALUE AT
Running cost $0.40 an hour	28.5%, $2.3bn	3.4 years
Running cost $0.66 an hour (base)	**24.9%, $2.0bn**	**3.2 years**
Running cost $0.87 an hour	21.8%, $1.7bn	3.0 years
A fleet earns less than the index: rent scaled so a GPU is worth its $47,000 system price	17.3%, $1.4bn	2.7 years
The vehicle pays the $47,000 system price and the chips earn the full index rent	54.0%, $4.3bn	4.0 years

The last two rows are a cross-check, and it widens the range in both directions. At the index rent, our method values a year-old Blackwell GPU at about $102,000. Published hardware prices are far lower: about $47,000 a GPU for a complete eight-GPU B200 system (CloudRift), and about $32,500 a GPU on Modal's estimate, relayed by SiliconANGLE, of $60,000–70,000 for a Grace Blackwell unit, which carries two GPUs. So the rent implies a value two to three times the

price. There are two ways to read that. If a fleet earns much less than the spot index, which is plausible for capacity sold under long contracts, the end value falls to 17% of the price ($1.4bn), or 13% ($1.1bn) on the lower hardware price, and the value test binds at about two and a half years. If instead the chips really earn the index and the vehicle simply buys them near cost, their end value is 54% of the price ($4.3bn), or 78% ($6.2bn) on the lower hardware price, and the value test would not bind until about four years. Neither reading moves the term test, which stays at three years on Amazon's clock. The dollar figure is the uncertain part: our base estimate is $2.0bn, and the readings above run from about $1bn to about $6bn.

So a deal that passes looks like this. A committed term under three years; no fixed-price buyback or renewal; no material guarantee; and outside equity that owns the chips at the end. On our base estimate that end value is about **$2.0bn of the $8bn** on a two-and-a-half-year term and about $1.4bn at the three-year limit; a shorter term sells more, and the cross-check above shows how wide the band is. That slice is the chip risk that genuinely leaves Amazon, and under the rules the debt leaves only with it.

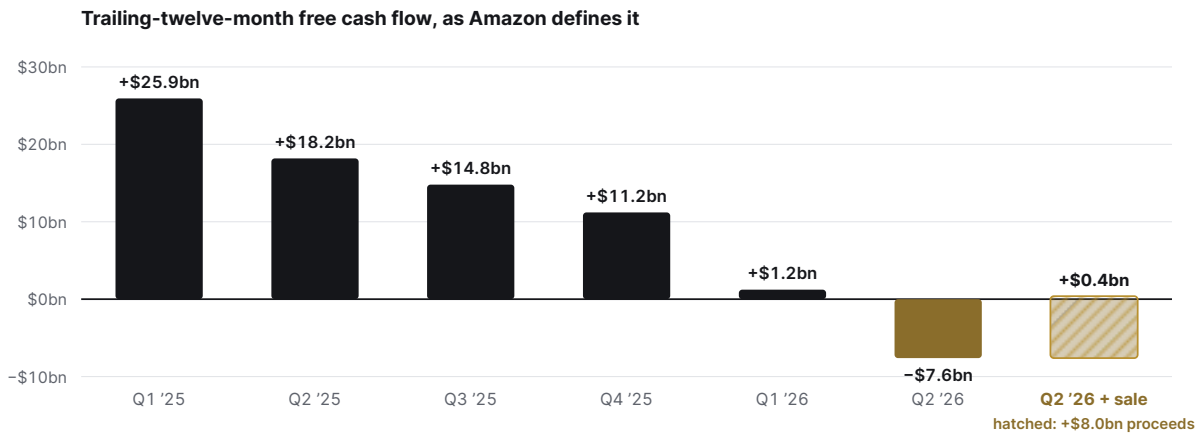
What comes off the balance sheet is about what investors pay for that slice. A passing leaseback brings a lease liability equal to the present value of the rent, about $6.6bn on a two-and-a-half-year term, so $8.0bn less $6.6bn, about $1.4bn net, leaves the balance sheet. Outside equity pays about $1.5bn for an end value of about $2.0bn, because it discounts that value at 13%; the only part of the price Amazon does not repay as rent is the part investors fund for the chips' end value, and the two differ slightly because the liability is measured at Amazon's borrowing rate, below the lenders' rate. At the three-year limit the liability is about $7.1bn and $0.9bn net leaves; on the scarcity case's inputs a four-year lease passes and $1.1bn leaves. On our base pricing, across all three of those cases, 80–90% of the money raised comes back as an obligation to pay rent. The figure moves with the same readings as the end value: on the two-and-a-half-year term it runs from about $0.7bn on the lowest reading, which just fails the 90% test (a passing sale moves at least $0.8bn), to about $4.6bn if the vehicle buys near hardware cost and the chips earn the full index.

THE CASH

What it buys: cash flow now, repaid as rent

If it passes, the whole $8bn lands in headline free cash flow. Amazon defines free cash flow as operating cash flow less "Purchases of property and equipment, net of proceeds from sales and incentives." The standard's cash-flow guidance puts a successful sale-leaseback's proceeds in investing activity, and the proceeds line is where Amazon reports cash from selling equipment, so a passing sale would be netted against capex there. A failing sale's cash goes to financing, which free cash flow ignores. In the last four quarters the proceeds line ran between **$0.87bn and $1.13bn** a quarter, so $8bn would be about eight times a normal quarter and impossible to miss.

EXHIBIT 3 — THE LINE THE SALE WOULD MOVE



How to read it. Each bar is Amazon's free cash flow over the trailing twelve months, on its own definition, at the end of each quarter from Q1 2025 to Q2 2026, in billions of dollars. The last bar is pro forma, not reported: it adds the $8bn of proceeds a passing sale would contribute, shown hatched, to the June 2026 figure. Compare bar heights against the zero line. The one thing it shows is the size of the deal against the series: $8bn is about a quarter of the $33.5bn fall from peak to trough. It is arithmetic on June's base; the deal cannot close before the fourth quarter.

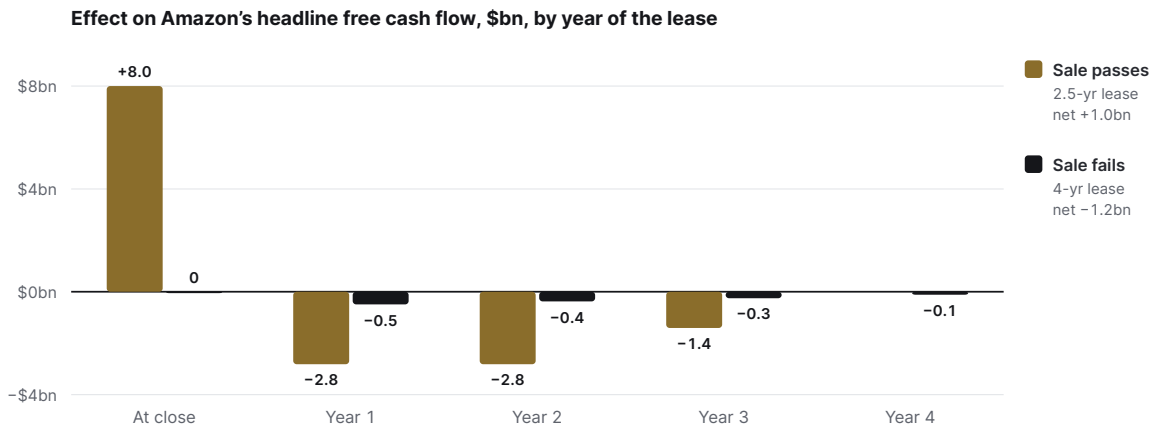
It is not the free-cash-flow turn. The deal was still in talks two days after the third quarter ended, so the earliest it can appear is the fourth-quarter cash-flow statement. By then the trailing window drops the strong second half of 2025 (+$17.3bn of free cash flow) and adds a second half of 2026 in which, on the $220bn guide, Amazon would have to spend about $122bn on property and equipment to meet it, against roughly $75bn a year earlier. Our estimate, assuming second-half operating cash flow grows 20–40% on a year earlier (the first half grew 44%, against a first half of 2025 that grew 12%; the second half of 2025 grew 26%, so the same two-year pace implies about 28%): trailing free cash flow at December of about **−$27bn** (range −$18.5bn to −$36.5bn), and about **−$19bn with a passing sale**. If 44% holds instead, the December base is about −$15bn, and about −$7bn with the sale. Fitch, as reported by Investing.com in July, said capex growth could result in negative free cash flow of around $40bn a year in 2026 and 2027, on a $200bn capex assumption. On every one of these cases, the sale narrows the gap; on none does it close it.

Amazon used to publish two stricter measures. It stopped in 2025. Until its Q4 2024 release (filed 6 February 2025), Amazon reported free cash flow "less principal repayments of finance leases and financing obligations" and a second variant that also deducted equipment bought on finance leases. It explained them as giving "additional perspective on the impact of acquiring property and equipment with cash and through finance leases and financing obligations." Every release since Q1 2025 carries the headline measure alone. We rebuild the first from the cash-flow statement; the second cannot be rebuilt, because Amazon no longer splits equipment leases from property leases.

MEASURE, TRAILING TWELVE MONTHS TO JUNE 2026 (PRO FORMA FOR THE SALE)	REPORTED	IF THE SALE PASSES	IF THE SALE FAILS
Free cash flow (Amazon's headline)	−$7.6bn	+$0.4bn	−$7.6bn
Less principal repayments of finance leases and financing obligations (rebuilt)	−$9.5bn	−$1.5bn	−$9.5bn
Dose: capex net of proceeds ÷ net income ex non-operating income	2.34×	2.23×	2.34×

Our dose metric moves too, and unless the sale passes, on the §3 terms or on an auditor-accepted longer life, it should not. The dose nets the same proceeds line, so a passing sale would cut it from 2.34× to 2.23× with no change in what Amazon spent on machines. When we next score the hyperscalers' doses, we will show Amazon's with and without any sale-leaseback proceeds.

EXHIBIT 4 — THE PULL-FORWARD



How to read it. Bars show the change in Amazon's headline free cash flow, in billions of dollars, at closing and in each year of the lease. Gold is a structure that passes the sale test (a 2.5-year lease, so year 3 holds a half-year of rent). Black is one that fails (a 4-year lease, accounted for as a loan, where only interest reaches operating cash flow). Both are priced on the market's rent curve with the vehicle's funding cost in §6. Compare the gold bar at closing with the gold bars after it. The one thing it shows is that about $7.0bn of the passing structure's $8bn flows back to the vehicle as rent within 30 months. On the scarcity case's inputs (20% a year, an eight-year life) the same four-year lease would pass instead: Amazon books the $8bn at closing, repays about $1.9bn a year of rent over four years, and gives up an end value of about $2.0bn.

Over the lease, the lift is a pull-forward. In a passing structure Amazon receives $8.0bn at closing, then pays about $2.8bn a year in rent through operating cash flow for two and a half years. Net over the lease, free cash flow is up about $1.0bn, and Amazon no longer owns chips with an expected end value of about $2.0bn. In a failing structure nothing arrives in free cash flow, only the interest portion of each payment touches operating cash flow, and the chips stay Amazon's. For scale, $8bn is 4.7% of trailing net capex and 3.6% of the 2026 guide.

THE PRICE

What it costs, who takes the other side, and whether it works

Amazon's own curve sets the benchmark. On the 1 October Treasury curve and its July new-issue spreads, widened by the 9bp that investment-grade spreads have moved since 21 September (high-yield spreads moved 58bp, from 2.66% to 3.24%), Amazon borrows for two and a half years at about **5.3%**. Its 2029 notes last traded at 5.28%.

The vehicle pays more, and four comparable structures show how much. They are indicative, not like-for-like: Broadcom's tranches carry a Broadcom residual-value agreement and their tenors were not reported, and the A2 figure compares a coupon with a Treasury yield.

COMPARABLE	WHAT IT IS	PREMIUM OVER A SPONSOR-GRADE CURVE
Broadcom's AI XPV, senior A1 (Jun 2026)	Racks leased to an AI lab, investment-grade, Treasuries + 100bp	about 60bp over Amazon's three-year
Meta's Hyperion bonds (6.58% due 2049)	Data-centre joint-venture debt, last traded at 7.30%	about 66bp over Amazon's long bonds
Broadcom's AI XPV, A2 (5.75% coupon)	Same structure, larger tranche	about 91bp over Amazon's five-year
CoreWeave's DDTL 4.0 (Mar 2026)	Non-recourse GPU loan, Treasuries + 200bp	about 138bp over Amazon's five-to-seven-year

We take that range, 60–138bp with 78bp central, for the vehicle's debt, and a 13% required return for the equity that owns the chips' end value.

PASSING STRUCTURE, 2.5-YEAR LEASE	LOW	CENTRAL	HIGH
Debt premium over Amazon's curve	60bp	78bp	138bp
Rate implicit in the lease	8.2%	8.3%	8.7%
Over Amazon's own 5.3%	+284bp	+296bp	+337bp
Extra rent a year, against Amazon funding the chips itself	+$141m	+$147m	+$167m
Extra over the lease	+$351m	+$367m	+$417m

Most of that premium is the price of the risk, not of the debt. About $6.5bn of the $8bn is debt repaid from Amazon's rent, which lenders can price close to Amazon's own credit. The other $1.5bn is equity that owns about $2.0bn of uncertain end value and wants 13% for it. The table shows who gains or loses, against what the deal priced in, when the chips come back in 2029. It adds two variants: a failing version in which Amazon keeps the end value through a buyback or guarantee, and a 90%-debt version in which lenders are owed a final payment of about $0.8bn from the chips' value.

CHIPS' VALUE WHEN THE LEASE ENDS	VALUE	PASSING: AMAZON	PASSING: VEHICLE EQUITY	PASSING: VEHICLE LENDERS	FAILING: AMAZON	90% DEBT: EQUITY / LENDERS
Rent declines 20% a year	$3.6bn	0 (gives up +$1.6bn)	**+$1.6bn**	0	+$1.6bn	+$1.6bn / 0
Market curve, 33.5% a year (priced in)	$2.0bn	0	0	0	0	0 / 0
Stress, 50% a year	$0.5bn	0	**−$1.5bn**	0	−$1.5bn	−$1.2bn / −$0.2bn
No buyer and no re-lease	$0	0	**−$2.0bn** (the $1.5bn stake wiped)	0	−$2.0bn	−$1.2bn / −$0.8bn

Each cell is the gain or loss against the end value the deal priced in, so an equity loss larger than the stake includes the return it expected. In a structure that passes, Amazon's exposure to the chips' value ends at signing and it remains a tenant owing fixed rent. If the scarcity case is right, Amazon pays about $0.4bn of extra rent to give away a gain of about $1.6bn. A thin equity slice strains the structure: with lenders repaid only from rent, debt reaches 90% of the price at a term of about 3.25 years, past the point where the sale fails, so a vehicle with 10% equity either keeps the lease short and asks lenders to take some chip risk, or it is a loan.

The price also gives a break-even. Against a bond at its own rate, Amazon's gain from a passing vehicle is the part of the price whose present value it never repays as rent, the $1.4bn net; its loss is the chips' end value, which it would otherwise own. On a two-and-a-half-year term the two balance at an end value of about **$1.6bn**, which the rent curve produces at a decline of about **37% a year**, above the 33.5% average we use. The market's three-month window ran from 29.5% to 38.6%, so the break-even sits inside the range the market's own curve spanned this quarter: on the average slope the vehicle costs Amazon about $0.3bn in present value against a bond, and on the window's last day, 38.4%, the end value is about $1.5bn and the vehicle is already the cheaper route on residual grounds alone. The arithmetic is a condition, not a motive. A seller indifferent to the reporting and funding effects would need to expect rent to fall faster than 37% a year; a seller that values those effects at more than about $0.3bn needs no view beyond the market curve, though on the scarcity case's 20% path the loss is about $1.8bn, and the effects would have to be worth more than that. The buyer's side could have reasons that are not a price view either: an investor that can use the hardware itself in 2029 may pay for access to it, not only for its resale value.

Whether moving the debt works depends on who is counting. GAAP would let it go. Rating agencies need not. S&P's published criteria, dated 2019, add lease obligations to adjusted debt and say S&P may increase a lease liability "if we view remaining lease terms to be artificially short relative to the expected use of the lease asset", a clause that would apply if S&P expected Amazon to keep renewing. The same criteria add guarantees of third parties' debt, unless the guaranteed party is creditworthy enough. Moody's, in a February 2026 report quoted by Fortune, said of hyperscalers' off-balance-sheet lease commitments that it "may make a nonstandard adjustment to Moody's adjusted debt based on our expectation of likely cash outflows." Fitch's summary of its criteria says lease liabilities are "not classified as debt for most sectors", though its commentary on Amazon cites a rent-adjusted leverage measure. None of the three has commented on this vehicle, so their treatment is untested. The benefit is surest in reported free cash flow and reported

debt, uncertain in rating-agency leverage, and real in one other respect: it opens a pool of lenders, such as the insurers and pension funds Bloomberg mentions, that buys rated asset-backed paper and not Amazon bonds.

Set against the measures in §1, $8bn moves some of them modestly, and sells one thing outright. Free cash flow: +$8bn in the quarter the sale closes, about $7.0bn paid back as rent over the next thirty months, and a December trailing figure near −$19bn in place of −$27bn. The bond market: $8bn not issued on the unsecured curve, about 12% of the $67.0bn Amazon raised in the first half. Obligations: about $1.4bn net fewer on our base estimate (band in §4), against $132.1bn of notes outstanding, or about 1%; taking $10bn off the balance sheet this way would mean running about $57bn of chips through such vehicles and finding outside owners for the end value of all of them. The rating: untested, and S&P's 2019 criteria say it may increase the liability on a lease whose term it views as "artificially short". What the deal does deliver in full is the first item on the proponents' list. About $2.0bn of exposure to what a 2025 chip is worth in 2029 passes to investors who chose it, for about $0.4bn of extra rent over the lease, most of it the price of that risk. So the measured answer to why a chip vehicle and not a bond is narrower than the phrase "off balance sheet": it is a way to sell chip risk and to bring cash flow forward, and only a small way to move debt. For servers to follow buildings off the balance sheet at scale, outside investors would have to own the chips' end value at scale, and the filings we found in §2 show no one doing that at scale.

THE PLAYERS

The players: what each side carries

The deal is a swap of risks, and each side's case can be laid out without guessing what anyone thinks. The table shows what each party holds today, what it would hold after a passing deal on our base terms, and the rent path on which it comes out ahead. The dollar figures are those of §5 and §6; the depreciation figures are new, and their assumptions are stated in §9.

PLAYER	CARRIES NOW	CARRIES AFTER A PASSING DEAL	COMES OUT AHEAD IF	COMES OUT BEHIND IF
Amazon	Chips reported at about $8bn, which we take as their carrying value: on the five-year life they would depreciate at about $2.0bn a year for four more years, or about $2.7bn a year if that life were cut again to four; and the chips' end value, whatever it proves to be	A fixed rent of about $2.8bn a year for two and a half years, and no chips	Rent falls faster than about 37% a year (end value below $1.6bn), or it values the reporting and funding effects at more than about $0.3bn	Rent holds near 20% a year: it has paid an estimated $0.4bn of extra rent and given up a gain of about $1.6bn (both nominal); or the rating agencies add the lease back, so the extra rent buys only the cash-flow timing
The lenders (82–90% of the money)	—	Debt repaid from Amazon's rent at 60–138bp over Amazon's own bonds, with little or no claim on the chips	Amazon pays its rent, which is Amazon credit risk at a premium	Only if their structure leaves them a final payment from the chips: in the 90%-debt case, −$0.2bn at a 50% decline and −$0.8bn with no buyer
The equity, as a fund (10–18%)	—	All of the chips' end value, bought for about $1.5bn against an expected $2.0bn, which returns 13% a year if the market curve holds (at the reported 10%, a $0.8bn stake and lenders owed a final payment from the chips)	Rent falls more slowly than 33.5% a year: +$1.6bn on the 20% path	Rent falls faster: −$1.5bn at 50% a year and −$2.0bn with no buyer, both against the end value priced in and so including the return it expected; the no-buyer case wipes the stake
The equity, as an operator	—	The same stake, plus a fleet of Blackwell chips it can run itself from 2029	It needs the hardware then, and what the chips earn it exceeds what the same capacity would cost	The chips are worth less than the stake and it has no use for them

Two readings fit these facts, and the reader can weigh them. In the first, the seller has the better information. Amazon's fleet utilisation and the rent its customers actually pay after discounts are not disclosed, and what the equity would see in diligence is not reported. Amazon has already shortened one server clock, for AI reasons, and runs the highest dose

among Microsoft, Alphabet, Meta and itself in our July valuation (2.34×; Oracle's is higher). A passing deal converts an uncertain depreciation charge on $8bn of chips into a fixed rent, at an estimated extra cost of about $0.4bn. On this reading the equity is buying the risk of a further life cut, and the 13% return we assume for it is the price of not knowing whether or when one comes.

In the second, the buyer has the better information. An operator sees its own forward demand and the rents it charges, which no index records. The B200's rent rose 52% in a quarter, Polymarket prices 77.5% on it holding above $7 at year-end, and a buyer that can run the chips itself values them above what a financier would. On this reading Amazon pays about $0.4bn to fix a cost that the 20% path would have turned into a $1.6bn gain, and the operator secures scarce hardware at a price that returns 13% a year on the market's own curve before any scarcity premium.

Both readings are consistent with the same deal. They differ on the rent path, and the market's own range this quarter straddles the break-even that separates them. The terms will say which fits. A passive fund as equity, pricing the chips off the public index, fits the first; an operator that will run the chips from 2029 fits the second. A committed term well under three years fits either, since a seller that wants the risk gone and a buyer that wants the hardware would both ask for it; a term at the limit with market-rent renewals fits a deal shaped by the accounting rather than by either reading. The dated test follows.

THE DATED TEST

When do we find out

Not in the Q3 numbers. Amazon's third quarter ended on 30 September, and the deal was reported as talks on 2 October. The Q3 release, expected after the close on Thursday 29 October (a date Amazon has not yet confirmed), and the 10-Q that follows cannot contain the cash. Watch three things there: any mention of the transaction in the 10-Q's liquidity or commitments discussion, whether management frames 2026 free cash flow as including equipment-sale proceeds, and the capex outlook. **The settling document is the FY2026 10-K, due in early February 2027**, with the fourth-quarter cash-flow statement.

IF THE DEAL…	THE FILING MUST SHOW
Passes as a sale	"Proceeds from property and equipment sales and incentives" about $8bn above its $0.9–1.1bn quarterly run-rate; "Assets acquired under operating leases" up by roughly the present value of the rent (about $6.6bn on passing terms); a sale-leaseback gain or loss in the lease note; servers and networking equipment lower at cost
Fails (a loan)	A new financing inflow; financing obligations in "Other long-term liabilities" up from $8.9bn; servers and networking equipment unchanged; "Principal repayments of financing obligations" rising from about $52–115m a quarter
Is consolidated	The vehicle's debt inside long-term debt, or a new variable-interest-entity disclosure; no proceeds
Becomes a lease of new equipment	"Property and equipment acquired under finance leases" and finance-lease principal repayments rising, the pattern of Amazon's 2020–22 equipment leases

> **What would change our view.** Three observable outcomes would move us toward the case that this is a sound sale and substantial risk transfer. First, the terms or the accounting: a disclosed committed term under three years with no fixed-price buyback or renewal, no residual value guarantee and no consolidation; or a leaseback of any term that the FY2026 10-K books as an operating lease, with a sale-leaseback gain or loss and no consolidated vehicle. That second outcome would mean Amazon's auditor accepted an economic life longer than the five-year book life, and we would say the scarcity case was right on the sale test. In either case we would treat the proceeds as a genuine asset sale and the 0.11× fall in Amazon's dose as real de-risking. Second, the mix: terms that move more chip risk than the rules require, for instance a committed term of two years or less, or no renewal rights at all. That would make the deal more of a risk sale than our estimate allows. Third, the rent, on the B200's own path: index rent at or above $6.25 an hour on 3 October 2027, a fall of 20% or less from today's $7.81. (For reference, Polymarket prices 77.5% on the B200 staying above $7.00 at the end of 2026, a nearer date and a higher bar.) That would make the 20%-a-year path the right input: a four-year lease would pass the value test (86%), and the term test too if the auditor accepts an eight-year life, and on a two-and-a-half-year lease the end value the investors own would be about 1.8 times our

> estimate. Symmetrically, a 10-K showing a financing obligation or a consolidated vehicle would settle it as a loan, and the free-cash-flow question would close at zero.

Tripwires we will track: the 29 October call and the 10-Q (any reference to the vehicle); the identity of the equity holder, operator or fund, when named; Ornn A100 on 31 October (Polymarket: 53.5% on $0.75–1.00) and B200 (92.5% on $6.50 or more); any rating-agency comment on the vehicle; the FY2026 10-K lines above; and any statement by Amazon on the deal, which as of 6 October has not been made.

SOURCES

Sources and Method

The deal. Financial Times, "Amazon seeks to offload $8bn of Nvidia chips to investors", published 2 October 2026 04:00 UTC (headline and standfirst read on ft.com; body paywalled, read only through digests). Reuters write-up of the FT report (Shivani Tanna, 2 October 2026, 04:12 UTC) and Bloomberg write-up (reprinted in the Taipei Times, 3 October 2026). Every reported fact traces to the FT; neither wire confirmed it independently, and both said Amazon did not respond. Both wires report $8bn, Grace Blackwell, thousands of chips, more than a dozen US data centres, debt funding, the leaseback, talks with investors in recent weeks and an equity stake of up to 10% (Bloomberg: the vehicle could sell it to investors; Reuters: Amazon plans to offer it; Quartz alone says Amazon would hold it); Bloomberg alone reports the $220bn capex figure and the conditional investment-grade line. Modal's estimate of $60,000–70,000 per Grace Blackwell unit of two GPUs and one CPU, as relayed by SiliconANGLE (2 October 2026); CloudRift (21 January 2026) for the $375,000 eight-GPU B200 system. Amazon's newsroom, press centre, AWS News Blog, AWS What's New feed and EDGAR were swept for 25 September – 6 October 2026: no statement on the transaction. Demand on Amazon's July bond deal: Fortune (8 July 2026; 2.5 times covered against 3.2 in March) and Reuters (29 July 2026; 1.6 against 3.4, from AlphaSense), which disagree on the multiples and agree on the direction. Hyperscaler bond issuance and trading: Reuters (29 July 2026, LSEG data). Server share (our estimate): the rise in servers and networking equipment at cost in the FY2025 Form 10-K ($113.2bn to $172.5bn) divided by 2025 purchases of property and equipment ($131.8bn), 45%. The numerator is net of retirements, includes finance-leased equipment and excludes servers still in construction in progress, so it is an approximation of cash spent on servers. The $220bn 2026 capex figure is the guide given on Amazon's 30 July 2026 call (press-sourced; Amazon publishes no transcript). Pulled 3–4 October 2026.

Amazon filings (SEC EDGAR, pulled 3 October 2026). Q2-2026 earnings release, Form 8-K Exhibits 99.1 and 99.2 (0001018724-26-000024, filed 30 July 2026): trailing-twelve-month operating cash flow ($161,403m), purchases of property and equipment ($173,028m), proceeds from property and equipment sales and incentives ($4,021m), free cash flow (−$7,604m), the TTM FCF series, principal repayments of finance leases ($1,599m) and of financing obligations ($308m), net income ($135,281m) and non-operating income ($79,818m). Quarterly figures from the Q4-2025 (0001018724-26-000002) and Q1-2026 (0001018724-26-000012) releases. The two alternative FCF measures and their definitions: Q4-2024 release (0001018724-25-000002, filed 6 February 2025); of 19 releases scanned (2022–2026), the 13 through that one carry them and none after. Q2-2026 Form 10-Q (0001018724-26-000026): leases note, financing obligations, debt note ($132.1bn of notes; the $17.5bn delayed-draw term loan). FY2025 Form 10-K (0001018724-26-000004): useful-life table and footnote, lease policy. Pricing term sheets (Form FWP): 0001104659-25-113283 (17 November 2025), 0001104659-26-025948 and -026393 (March 2026), 0001104659-26-071456 (June 2026), 0001104659-26-081334 (July 2026), 0001104659-26-106322 (September 2026). Notes issued since November 2025: USD at face, EUR/CHF/CAD at 30 June 2026 carrying value, sterling unconverted. Amazon secondary yields: FINRA TRACE last sales, 2 October 2026.

Accounting authority. ASC 842-40-25-1 to 25-5, 842-40-55-20/21, 842-10-25-2, 842-10-30-1/30-2, 842-10-55-2 and 842-10-55-26, the ASC master-glossary definitions of lease term and of economic and useful life, and ASC 810-10, as reproduced in Deloitte's Roadmaps (Leasing chapter 5, §8.3, §10.3, §10.4; Statement of Cash Flows §7.6.3; Consolidation §4.3.9, §7.2.3.3) and PwC's Viewpoint Leases guide §3.3, §3.4, §6.3 and §6.5 and Consolidation guide §3.5 and §5.1, retrieved 3–4 October 2026.

Rent. Ornn Compute Price Index daily values for A100 SXM4, H100 SXM, H200 and B200, public three-month window 4 July – 3 October 2026 (dashboard.ornnai.com, the resolution source for Polymarket's GPU-rent markets), pulled 3 October 2026. Polymarket "GPU rental prices" markets, pulled 3–4 October 2026. AWS EC2 Capacity Blocks for ML pricing page, retrieved 3 October 2026, rates effective 7 October 2026. Vintage dates are AWS general-availability dates: P4d (A100) 2 November 2020; P5 (H100) 26 July 2023; P5e (H200) 9 September 2024; P6-B200 15 May 2025; P6e-GB200 9 July 2025. Decay fit: ordinary least squares of ln(rent) on years since general availability across the four generations; annual decline = 1 − e^slope. Run on each of the 92 days in the window: range 29.5–38.6%, mean 33.5% (the base case); 3 October alone 38.4%; AWS list 35.1%.

Running cost. Power per GPU: 123.6kW for a 72-GPU GB200 rack (SemiAnalysis, 17 July 2024); 132kW of power-shelf capacity (Supermicro specification page) for the high case. Colocation: CBRE North America Data Center Trends, H1 2026 (Northern Virginia, 10MW and above, $160–185 per kW a month) and H2 2025 ($195.94 for 250–500kW). Electricity: EIA Electric Power Monthly, July 2026 data released 24 September 2026 (Virginia industrial 10.07 cents; US commercial 14.53 cents). Power-usage effectiveness of 1.3 and the allowance for insurance and upkeep from CloudRift's published cost model (21 January 2026), which also gives the low case: half of its cash running cost for a B200 server, the top of its stated hyperscaler discount of 30–50%. Base = 1.717kW × ($172.50 ÷ 730 hours + 1.3 × $0.1007) + $0.03 = $0.66.

Rates and spreads (FRED, pulled 3 October 2026; observations through 1 October 2026). BAMLH0A0HYM2 (ICE BofA US High Yield OAS), BAMLC0A0CM (US Corporate IG OAS), DGS2, DGS3, DGS5, DGS7, DGS10. Amazon's yield at a tenor = the interpolated Treasury constant-maturity yield on 1 October + Amazon's July-2026 new-issue spread at that tenor + the 9bp widening in the IG OAS since 21 September.

Rating agencies. S&P Global Ratings, "Corporate Methodology: Ratios And Adjustments" (1 April 2019), paragraphs 26 and 35, read in full. Moody's February 2026 report on hyperscaler lease commitments, as quoted by Fortune (25 February 2026); Moody's own text and its current adjustments methodology were not read. Fitch Ratings, "Criteria Essentials – Corporate Ratings" summary sheet (the full criteria were not read) and its July 2026 Amazon commentary as reported by Investing.com. Moody's 20 February 2026 outlook change on Amazon: Yahoo Finance (23 February 2026) and Investing.com (20 February 2026). Fitch's free-cash-flow expectation: Investing.com (July 2026). Amazon's ratings as printed on its term sheets: A1 / AA / AA−.

Comparables and ledger. SpaceX Form 10-Q (0001628280-26-052535, filed 4 August 2026) and S-1/A (0001628280-26-040364) for the Valor transactions; Meta Form 10-Q (0001628280-26-050705) and its 21 October 2025 and 28 July 2026 releases; Beignet Investor LLC bond terms from a PIMCO Variable Insurance Trust N-PORT (0001410368-26-090118), FINRA TRACE, and IFR for the $27.3bn size; Broadcom Form 10-Q for the quarter

ended 2 August 2026 (0001730168-26-000080), with tranche pricing as reported by Bloomberg (via Investing.com, 5 June 2026); CoreWeave Form 10-Q (0001769628-26-000366); NVIDIA Form 10-Q (0001045810-26-000075); Alphabet Form 10-Q (0001652044-26-000071). Chip sale-leasebacks: twelve EDGAR full-text phrase searches pairing sale-leaseback language with GPUs, servers or AI hardware, each run separately on Forms 10-K, 10-Q, S-1, S-1/A, 20-F, 8-K, 6-K, 424B4 and F-1 across all filers, 1 January 2024 – 4 October 2026; for 23 shortlisted filers the most recent hit was read. Among the filings these searches returned, the sellers of AI servers are SpaceX (above), Boost Run (Form S-1 filed 2 July 2026; amounts in thousands) and WhiteFiber (Form S-1/A filed 1 August 2025, and its parent Bit Digital's Form 10-K; WhiteFiber changed its equipment life from three years to five in January 2025, and its filings do not state how the leaseback was accounted for), and Sangrix (Form 20-F filed 18 September 2026) is a buyer. Other hits were covenants, accounting-policy text, or equipment that was not AI servers or was not specified (Backblaze, Rackspace, Coolbit). The search is not a census: a deal described in other words would not appear. Reuters (4 August 2026) notes that Amazon's lease portfolio as a whole includes warehouses, offices, aircraft and vehicles; Amazon does not split its uncommenced leases by type. Oracle's guarantee: Form 10-K (0001193125-26-277521). Leases not yet commenced: Microsoft Form 10-K (0001193125-26-323660), Oracle Form 10-Q (0001193125-26-389274), Meta, Amazon and Alphabet Forms 10-Q as above; the $1.1 trillion is their sum ($1,118.5bn), of undiscounted payments, and Amazon's figure includes non-data-centre leases. Guarantee ceilings: Meta $28bn on an asset it uses; for others' payments, NVIDIA $105bn (plus $3.5bn of smaller lease guarantees, not counted), Alphabet $43.8bn and Broadcom $29bn, $178bn in all. Premium over the sponsor curve = comparable yield or spread minus Amazon's same-tenor new-issue spread or secondary yield on the same date.

Model (estimates, labelled as such throughout). Residual value: the value of a GPU is the present value of (market rent − running cost) × 8,760 hours × 80% sold, discounted at 12%, with rent starting from today's B200 index ($7.81) and falling at 20%, 33.5% or 50% a year, and no cash flow beyond eight years of age. The fleet's average age at signing is assumed to be one year. Vehicle, per dollar of price: equity pays the present value of the end value at a 13% required return; lenders fund the rest and are repaid only from Amazon's rent, paid monthly, at Amazon's yield plus the premium; the rent is whatever repays them. The rate implicit in the lease equates rent plus end value to the price. The present-value test is shown at Amazon's borrowing rate and at the implicit rate; the term test uses 75% of remaining life. What leaves the balance sheet = the price less the lease liability (the present value of the rent at Amazon's borrowing rate): $1.4bn on a 2.5-year term, $0.9bn at three years, $1.1bn on the scarcity case's four-year lease, and $0.7bn to $4.6bn across the §4 cross-check readings (the lowest fails the 90% test at that term, so a passing sale moves at least $0.8bn); $10bn ÷ 17.6% = about $57bn of chips. Players: depreciation if Amazon keeps the chips takes the $8bn price as their carrying value, straight-line over the four years left on a five-year life ($2.0bn a year) or three on a four-year life ($2.7bn a year); the lender and equity shares (82%/18%) are the base-pricing split in §6, and 10% is the reported equity. Break-even: the end value whose present value at Amazon's rate equals the $1.4bn net, $1.4bn × 1.0534^2.5 = $1.6bn; the decay rate that produces it is solved by bisection on the residual function (37.0% a year); the base case's present-value loss against a bond is $0.34bn, the last-day slope (38.4%) gives an end value of $1.47bn, and the 20% path a present-value loss of $1.78bn. The end value is an expected value discounted at Amazon's rate; at the 12% asset rate the break-even would be about $1.9bn and 35% a year. Free cash flow: a passing sale adds the proceeds to the proceeds line; a failing sale adds a financial liability whose interest runs through operating cash flow and whose principal runs through financing. December-2026 base: trailing FCF = Q1-26 (−$17.2bn) + Q2-26 (−$7.7bn) + an estimated second half, in which operating cash flow grows 20%, 30%, 40% or 44% (the first half's actual) on the second half of 2025 ($90.0bn) and gross capex is the $220bn guide less the first half's $98.4bn; half-year growth from the filings: H1-25 +11.9%, H2-25 +25.7%, H1-26 +44.2%. Dose = capex net of proceeds ÷ (net income − non-operating income × (1 − 21%)), the house method. All figures are produced by the note's model scripts; the deal is not signed and every deal-specific number is conditional.

Limitations. The FT is the only source for the deal. The rent curve is a cross-section of four generations over a three-month public window, and its slope moved between 29.5% and 38.6% inside it. Grace Blackwell rack systems are not indexed; the B200 index stands in, and our rent-based value per GPU is two to three times published hardware prices (§4), which leaves the dollar size of the risk sold uncertain. The fleet's age, which servers sit in Amazon's five-year subset, and the lease's renewal terms are not disclosed. Two rating agencies' methods were read only through summaries or press. Accounting outcomes depend on terms not yet disclosed and on auditor judgment; this note shows which terms pass, not which terms Amazon will choose.

Prior TON618 research relied upon. The Honest Machine (Amazon valuation, 31 July 2026: the dose and the server clock); The Depreciation Question (17 July 2026: useful-life changes across six AI-compute buyers, and Amazon's one reversal); The Fifth Seat (NVIDIA's compute-financing platforms); The Neocloud Fuse (secured versus unsecured GPU credit).

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